

Busted trade. [Table 33.9](#) discusses trading single busted patterns. I think that's probably the best way to trade a double top. Unfortunately, it relies on a single busted pattern, and there's no guarantee that the stock will bust only once. Thus, it's a risk, but the reward can fill your wallet or purse if you trade the pattern often enough and well enough.

Tips. The tips I discussed in the chapter on Adam & Eve double tops apply to its twin, Eve. Let's talk about them. In the first series of tips listed below, look for a strong push upward leading to the first top, not a trend that meanders and rollercoasters for months before forming the peak.

When I write of a *knot*, [Figure 31.5](#) (not [Figure 33.5](#)) shows an example of what I'm blabbering about. You'll see it at I, circled in the figure. Price moves sideways for at least 3 days with lots of price overlap. It's in the line of trend leading up to the Adam peak, and it's the closest support knot below confirmation. That's the target. Price at A almost reaches that knot and reverses.

- In your stock, look to the left where price trends up to the double top. If the stock *at confirmation* is resting on a knot of support, then don't take the trade. Expect the stock to bounce off that knot and maybe bust the downward breakout. It's too high risk to short the stock.
- Look for the first knot of support *below confirmation*. The top of that knot is your price target. Price will often drop to the top of the knot right after a breakout and reverse there. It's a good time and price to close out the trade.
- If the knot of support is well down the price trend (such as when price makes a steep but long rise up to the double top), the stock likely won't make it back down to the knot, at least not in the first few days. Measure the move from the knot to the confirmation price and divide by three or maybe half and subtract it from the confirmation price. That's your target.
- Figure 31.4 shows an example of this strong move up to the Adam peak. There's no support area (no place where price goes horizontal for 3 or more days) along that run, so slice the height of the run in half or thirds and measure down that far from the confirmation price as your target.